

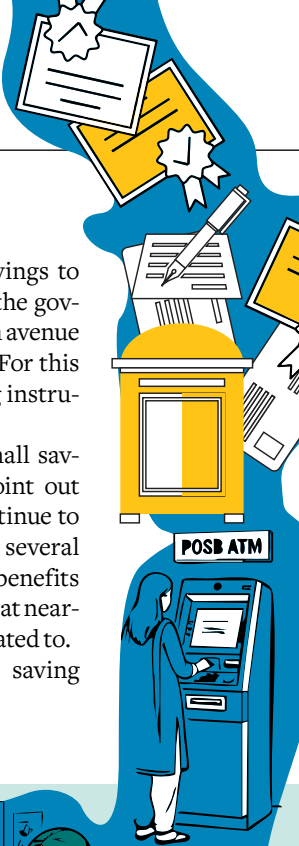
Finance Minister Nirmala Sitharaman recently addressed the issue, calling it a “double whammy”, as it is costing the government on both sides. Noting that nowadays retail investors are saving through different platforms, she further said that it is a big ‘*dharma sankat*’ (moral dilemma) for the finance ministry every quarter. “Whether you will bring this down and cause hurt to senior citizens, who are probably living on that little interest rate that they earn out of it, but it is. We are ensuring that they don’t earn less, but equally if I just looked at the kitty of NSSF, it is from that same kitty I am borrowing,” she said.

However, with recent volatility in equity markets over the last one and half years, returns on several

may need to rely more on domestic savings to finance fiscal deficit. “In this scenario, the government can promote small savings as an avenue for medium- to long-term investments. For this to happen, interest rates on small saving instruments need to be revised,” he says.

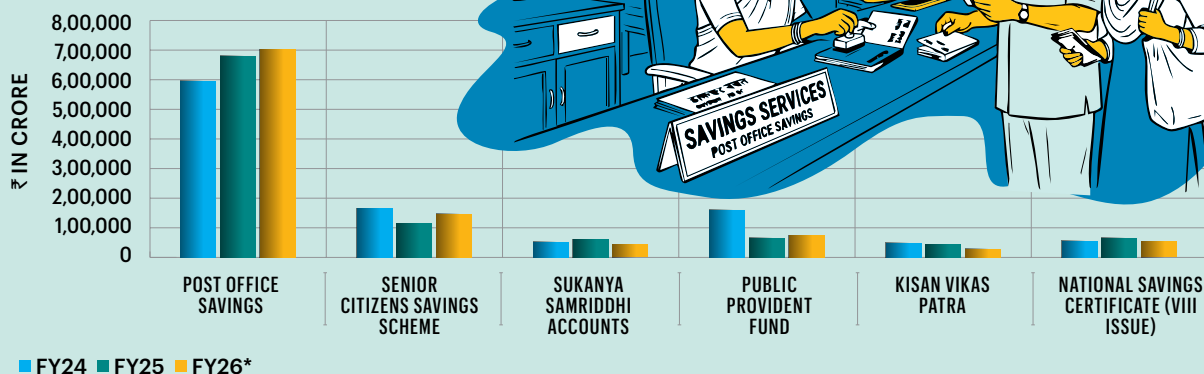
Experts also highlight the role of small savings in portfolio diversification and point out that steady returns means that they continue to be the preferred investment avenue with several small investors despite the lower tax benefits available in the new income tax regime that nearly 90% of individual taxpayers have migrated to.

The most popular amongst small saving



INFLOWS CONTINUE TO RISE

• Sukanya Samridhi Yojana, PPF, NSC and Senior Citizen Savings Accounts are among the most popular



NOTE FIGURES SHOW DEPOSITS INTO KEY SCHEMES; *TILL FEBRUARY 2026; AMOUNT IS FOR PROGRESSIVE DEPOSITS **SOURCE** NATIONAL SAVINGS INSTITUTE

products have become shaky. For instance, the short-term returns of mutual funds have become uncertain.

The rates on fixed deposits too have become less attractive amidst rising inflation and tax treatment.

STEADY RETURNS

Srivastava notes that with increasing uncertainty arising from the West Asia conflict and with the flight of net foreign capital flows from India, the government

schemes are the PPF, Sukanya Samridhi Scheme, National Savings Certificate and the Senior Citizens Savings Scheme.

However, one must remember that investments tend to get locked in for a specific period and those looking to exit must remember that accounts under these schemes can be closed prematurely only under certain conditions. There are also minimum and maximum investment caps under most schemes.